

is no more than the agency it has embodied in itself. A soldier is a wage-laborer, a mercenary, but this does not make a productive worker of him." (Marx, 1976, p. 1042)

18. This issue and its resolution are also related to the distinction between productive and unproductive consumption. The latter distinction will be considered later in the context of state expenditures.
19. It must be remembered that Marx in the Grundrisse classifies a part of labor activities in the state sector as unproductive even though, like 'domestic labor,' they increase the productive capacity of capital. (Marx, 1973, p. 533)
20. One of the murkier aspects of the PUPL discussion is caused by Marx's own classification of transportation activities as productive ones. There is unquestionably no contradiction or inconsistency between Marx's already outlined position on circulation activities as productive labor activities, since activities in the circulation sphere do not consist solely of transportation activities; the latter is only a part of the former. Furthermore, "...circulation of commodities can take place without physical motion by them, and there can be transportation of products without circulation of commodities, and even without a direct exchange of products. A house sold by A to B does not wander from one place to another, although it circulates as a commodity." (Marx, 1956, p. 152) On the other hand, about the productive nature of transportation activities Marx says that:

"Quantities of products are not increased by transportation. Nor, with a few exceptions, is the possible alteration of their natural qualities, brought about by transportation, an intentional useful effect; it is rather an unavoidable evil. But the use-value of things is materialized only in their consumption may necessitate a change of location of these things, hence may require an additional process of production, in the transport industry. The productive capital invested in this industry imparts value to the transported products, partly by transferring value from the means of transportation, partly by adding value through the labor performed in transport. This last-named increment of value consists, as it does in all capitalist production, of a replacement of wages and of surplus value." (Marx, 1956, p. 153)

The position elaborated in TSV is especially significant since it sets forth the idea of 'effect of material change' in transportation activities exactly as in material production activities.

"The relation of productive labor - that is, of the wage laborer to capital is here i.e. in the transportation industry exactly the same as in the other spheres of material production. Moreover, here a material change is effected in the object of labor - a spatial change, a change of place" (Marx, 1963A, p. 412) However, the above treatment of transportation activities as productive labor does not exclude the possibility of classifying certain transportation activities, such as those strictly related to distributive transportation activities as unproductive labor.

21. This confusion is quite apparent in (Tarbuck, 1977). For a critique of that article, see (Rowthorn, 1980).
22. "A large part of the annual product which is consumed as revenue and hence does not re-enter production as its means, consists of the most tawdry products (use-values) designed to gratify the most improverished appetites and fancies. As far as the question of productive labor is concerned, however, the nature of these objects is quite immaterial ... This sort of productive labor produces use-values and objectifies itself in products that are destined only for unproductive consumption... ((O)rdinary economic theory finds it impossible to utter a single sensible word on the barriers to the production of luxuries even from the standpoint of capitalism itself. The matter is very simple, however if the elements of the process of reproduction are examined systematically. If the process of as this is already determined by the natural growth of the population, is held up by the disproportionate diversion of productive labor into unproductive articles, it follows that the means of subsistence or production will not be reproduced in the necessary quantities. In that event it is possible to condemn the manufacturer of luxury goods from the standpoint of capitalist production. For the rest, however, luxury goods are absolutely necessary for a mode of production which creates wealth for the non-producer and which therefore must provide that wealth in forms which permits its acquisition only by those who enjoy." (Marx, 1976, pp. 1045-6)

23. In the context of the U.S., utilities, power stations and water services can be mentioned as concrete cases of state capital.

Chapter IV

State in Distribution Process

In this Chapter, the fundamental question raised is how the State directly participates in the distribution process vis-a-vis working class and what effect such participation has on the rate of surplus-value.¹ The first part of the question requires an operational concept which measures the net impact of state activities in taxation and expenditures on the working class as whole. The concept proposed is that of the 'net-tax', namely, taxes paid by workers to the state minus benefits and income received from it. The second part of the question, as manifested in the fluctuations of the rate of surplus-value, can only be posed by narrowing down the concept of the net-tax paid by labor. In order to analyze the effect of the State's distributional activities on the rate of surplus-value, it is necessary to determine the portion of net-tax paid exclusively by productive workers, because it is the labor time of these workers which yields variable capital. As long as this latter portion is positive, the magnitude of variable capital will be smaller, while that of surplus-value due to the state's distributive activities, will be larger by the same amount; hence the increased rate of surplus-value. Both of these questions, which are linked but address different

issues, will be discussed, formulated and empirically checked in the context of the U.S. for the period 1952 - 1980 by using NIPA data.²

In the second section, the empirical conceptual framework of the study in the context of NIPA will be briefly presented. In the third section, the tax and expenditure structures of the U.S. will be discussed and some remarks made concerning their content. The methods of allocating taxes and benefits and income will subsequently be outlined; and details of the calculations and data sources will be presented in Appendix I and II. The method of calculation of the rate of surplus-value will be presented in Appendix III.

A. NIPA and Net-Tax

The concept of net-tax can be situated within the discussion of finding an appropriate measure of wages so that the concept itself can be properly understood in relation to some other concepts within conventional public finance theory. As an appropriate measure of wages fundamentally two approaches can be adopted. The first approach is based on observed true wages, i.e., focusing on empirical measurements of certain appropriate concepts. Various measures of disposable income used by both orthodox and radical economists fall under this category. The other approach is based on a comparison of observed true wages with some

hypothetical, alternative scenarios: thus, here we would compare, say, some measure of the observed true wage with an estimate of its magnitude under some hypothesized alternative circumstances. It should be noted that the first approach is methodologically prior to the second. Accordingly, we will distinguish the two stages by referring to them as Incidence of Type I (observed true wages) and Incidence of Type II (comparison of observed true wage with true wages would occur under the hypothesized conditions, respectively).

The question we ask in this study focuses on the first aspect of analyzing wages: Incidence of Type I. The question here is, what is the observed true wage when the direct participation of the state in the distribution process is taken into consideration? Hence, a concept, net-tax, which measures the actual net impact of state activities in both taxation and expenditures on wages, is proposed. Observed true wage then equals employee compensation minus net-tax which itself equals taxes minus benefits. We consider that the question of Type I Incidence methodologically comes first in the sense that it provides a ground on which we can trace the effect of an alternative distribution scheme. Concretely speaking, for example, the question of what would have been the effect of an increase in the social security tax on wages can be asked only after the construction of an appropriate measure of observed true

wages. In addition, though the question of Type II Incidence is clearly important, at the same time it requires the construction of rather elaborate models of price formation, growth, demand, etc., besides an empirical specification of observed true wages. Finally, it should be noted that the estimation of Type II Incidence requires not only the construction of adequate and elaborate models, but also the careful specification of valid alternative conditions under which the operation of these models is examined. One conventional empirical approach to the latter question involves the adoption of a 'no-government scenario' as the alternative condition to the existing one, and then attempting to figure out what the true wage would have been in the absence of government activities, i.e., no taxes and no benefits. We reject this sort of alternative condition on the ground that it fails to recognize the state as a necessary aspect of capital accumulation. Instead, we propose a two-stage analysis in which, first, the observed true wage is measured by using the concept of net-tax, and then at the second stage alternative schemes can be developed and compared to the observed true wage. To illustrate this two-stage procedure, so to speak, a simple numerical example is constructed below.

Suppose that wages are \$100.00 a week which include gross wage and fringe benefits. Then, the disposable -

income can be obtained by subtracting taxes, say, \$40.00, from wages. However, disposable income is not adequate measure of the observed true wage since it does not take into account the benefits and incomes received from the state. Therefore, we should not only subtract taxes from wages, but also add any such benefits and incomes, i.e., net-tax, to wages. Consequently, the observed true wage equals wages minus taxes (\$40.00) plus benefits and incomes (\$30.00), i.e., \$90.00. Now, at the second stage, suppose that we examine the consequences of a hypothetical rise in the social security tax. Let us say that our model, taking into account the feedback effects of such changes on other taxes, expenditures, profits, demand for labor, etc., indicates that under these conditions the true wage would become \$83.00. We could now compare this hypothetical \$83.00 true wage with our previous \$90.00 observed true wage to estimate the potential effect of a change in the social security tax on true wage.

In this particular study, we are concerned only with the estimation of observed true wage given the state's actual involvement in the distribution process. The second kind of hypothetical question, though very important, methodologically appears later and requires rather complicated macro-models which are outside the scope of our study.

The conceptual derivation of net-taxes, both for labor and non-labor, involves six steps and are presented graphically in Figure I.

Phase I: The initial category from which the derivation starts is the 'Net National Product', itself divided into 'Gross Labor Income' and 'Gross Non-Labor Income'.

Net National Product

I. Gross Labor Income (GLI)

- . Wages and Salaries (with personal contributions for Social Insurance)
- . Employer Contributions for Social Insurance
- . Other Labor Income

II. Gross Non-Labor Income (GNLI)

- . Proprietors Income
- . Corporate Profits
- . Rent
- . Net Interest
- . Indirect Business Taxes
- . Business Subsidies
- . Surpluses of Government Enterprises

As we see above, Gross Labor Income, in terms of NIPA categories, consists of 'wages and salaries', 'personal and employer contributions for social insurance' and 'other labor income'. Gross Non-Labor Income, on the

other hand, is made up of 'proprietors' income', 'business subsidies', and 'surpluses of government enterprises'. The NIPA framework overestimates Gross Non-Labor Income while underestimating Gross Labor Income, due to its treatment of indirect business taxes. This category of taxes not only contains 'sales and excise taxes' but also property taxes' of which approximately 50% is paid by homeowners, i.e., mostly labor. The inclusion of property taxes in the category of indirect business taxes derives from the fact that houses are treated as businesses in NIPA. In other words, NIPA treats individual homeowners as individual capitalist firms which rent out their buildings to themselves. This particularly strange treatment of property taxes within indirect business taxes is corrected in the next phase. Unproductive distinction enables us to see the impact of the increasing material cost of unproductive activities on the tax revenue of the state.

Phase II: This step involves the allocation of taxes to labor and non-labor segments, itself requiring some intermediary assumptions and calculations that will be outlined in the next section and presented in detail in Appendix I.

Phase III: Gross incomes in Phase I are now adjusted by the taxes estimated in Phase II, giving after-tax income.